



Absa Bank Kenya PLC

FY 2024 Results

Agenda

1

**Business
Overview**

2

**Financial
Performance**

3

Guidance

4

**Strategic
Outlook**

Business *Overview*

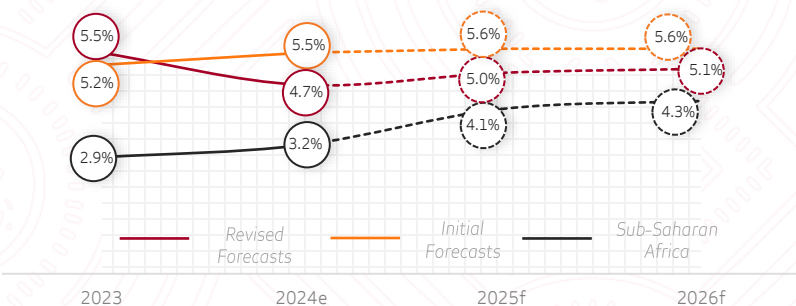


Abdi Mohamed
Chief Executive Officer

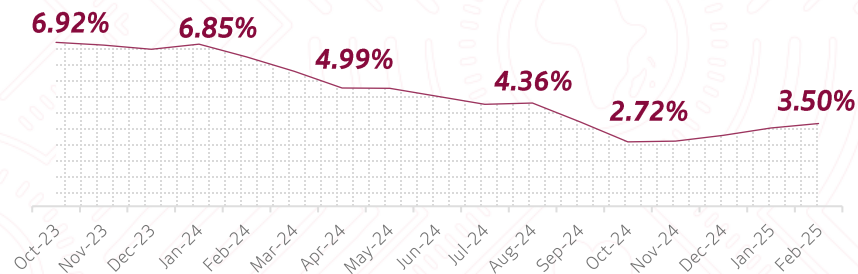


Operating environment: 2024 was a persistently complex operating environment with addressable risks and opportunities

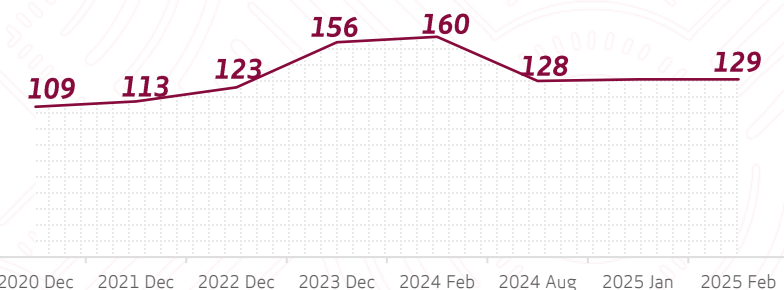
1. GDP Growth remains resilient



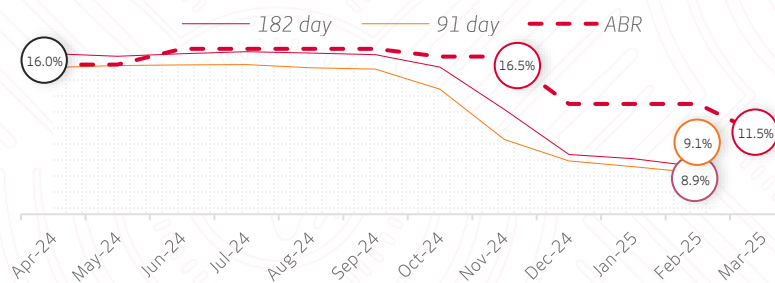
2. Average Inflation within CBK target range



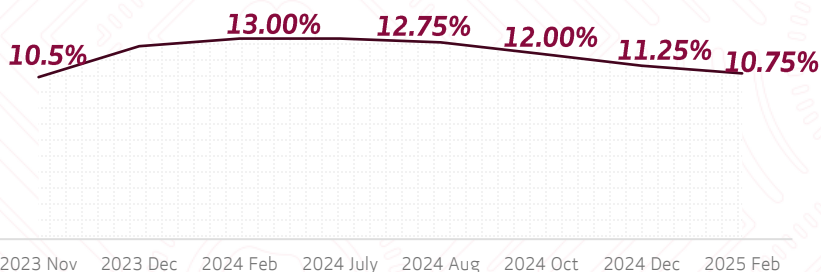
3. Exchange Rate stable for a sustained period



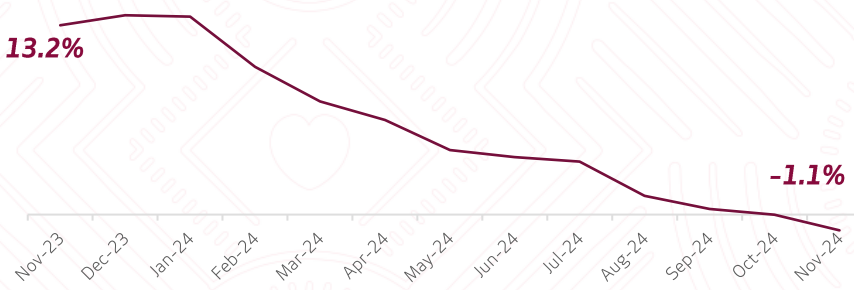
4. High interest rates in 2024 with sharp decline in 2025



5. Easing of Monetary Policy (CBR Rate)



6. Declining Private sector credit growth



In Summary

Tailwinds

- Resilient GDP growth
- Anchored inflation
- Stable currency with sufficient FX reserves
- Easing monetary policy expected to spur private sector credit growth
- Revised positive outlook by rating agencies driven by fiscal consolidation efforts by the government to address the debt sustainability concerns

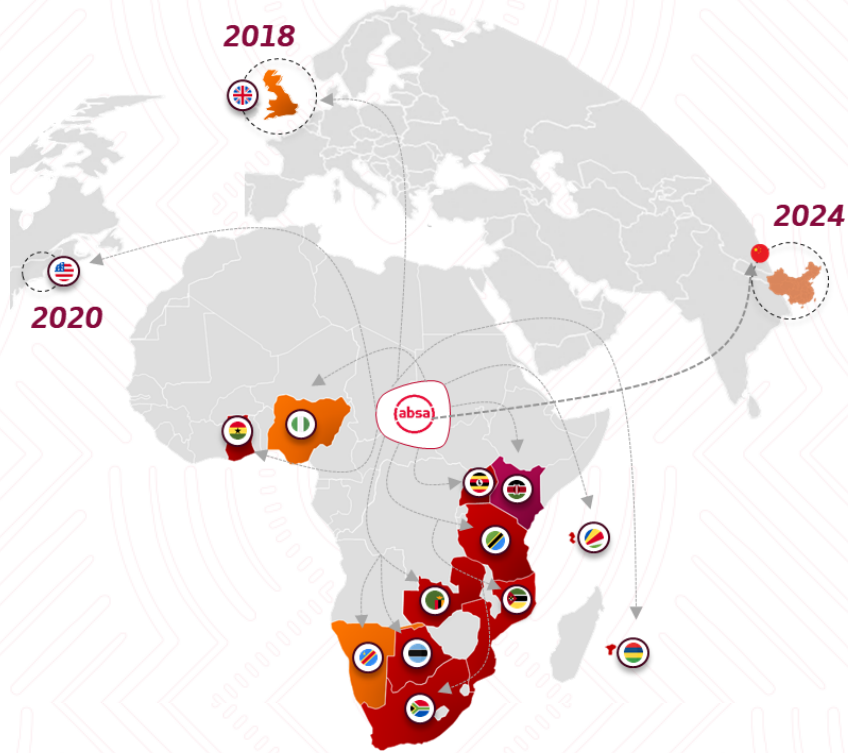
Headwinds

- Decline in disposable incomes and constrained consumer purchasing power
- Uncertainty arising from geopolitical conflicts



Our Global and Regional Footprint: We are part of a leading Pan African financial institution with global reach

Absa Group



1,010
Branches



110,071
POS



+40k
Workforce



9,502
ATMs

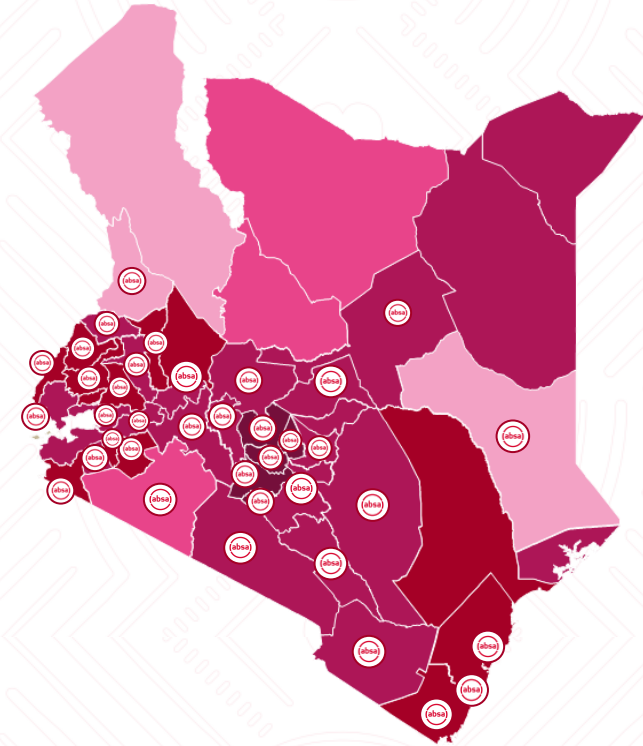


12
Countries in Africa



USD 92 billion
Total Assets

Absa Kenya



86
Branches



10,548
POS



+2,000
Employees



263
ATMs + CDMs



3,131
Agents



KES 506 billion
Total Assets

Your story matters





We remain committed to our purpose “Empowering Africa’s tomorrow, together... one story at a time”: We are enabling customer aspirations while supporting them to navigate a tough operating environment

Empowering
Customers



**KES 3.4bn
Restructures**

*For individuals and
businesses*



**350bps
Reduction in
Absa Base Rate**

*Between June 2024
to March 2025.*



180bn

*New Gross Lending in Timiza, MSME,
Mortgages, Working Capital, Corporate
Trade Finance*

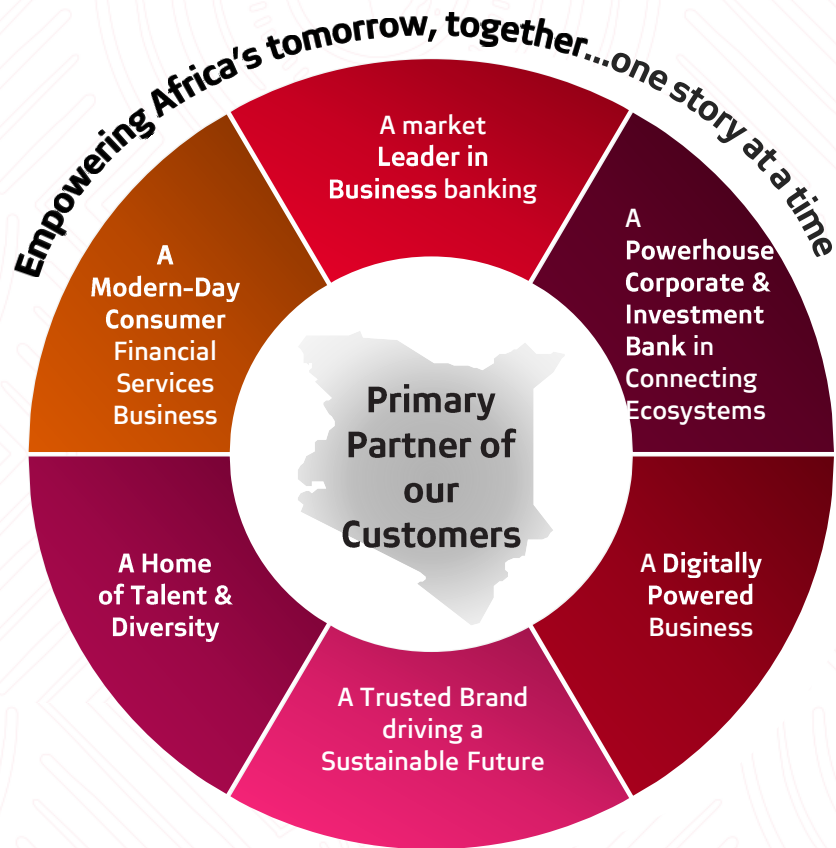


35,000+

*Supported with non-financial skills -
Women in businesses, MSME, Post
harvest losses management*



Our 2023-2027 Strategy Overview: We are in the third year of our five-year strategic cycle focused on cementing our position as a diversified franchise with market-leading growth and the primary partner for our customers



Strategic Key focus areas of our strategy

- | | |
|---|---|
| 1 | A modern-day consumer business - Shift the business focus from being product-led to customer segment-led |
| 2 | A market leader in business banking - Expanding into growing sectors where we are currently underrepresented while Offer relevant services to our clients boosting product holding and revenue per customer |
| 3 | A powerhouse in corporate and investment banking- Refocus our Ecosystem Model to capture the entire value chain of opportunities within Absa |
| 4 | A digitally powered business – Modernize our core technology infrastructure, digitize customer journeys and ensure seamless customer experiences across all interaction points |
| 5 | A Trusted Brand - Build our brand affinity with our clients and employees while being a Force for Good in the society |
| 6 | A Home of Talent & Diversity - Implementing agile methodologies and cultivating a conducive culture that fosters motivation and engagement among the workforce |



1 Purpose



3 Priorities



3 Enablers





Strategy Execution: We are accelerating our execution on our strategic ambition with notable milestones achieved

Key Achievements on our Strategy Execution

A modern-day Consumer Financial business

- ↑ **10%** growth in active **customer numbers**
- ↑ **5x** growth in **agency banking** outlets, **+4 branches**
- ↑ **21%** growth in **timiza disbursements**, **46%** growth in **revenue**
- Relunched our affluent business

A Digitally powered business

- ↑ **+KES 3 billion** scoped in **technology core banking modernization**
- ↑ **65%** of **Back Office Automation**
- Digitized key customer journeys – onboarding and lending

A market leader in business banking

- ↑ **Double-digit** growth in **LaRiba** and **Women in business** propositions
- **Wezesha platform** supporting our **ecosystem strategy**
- **Number 1 Islamic proposition**
- Digital account opening for merchants through Timiza

A trusted Brand driving a sustainable future

- ↑ **20%** growth in **Connection** and **Relevance**
- **Number 1 Trusted** Financial institution
- Launched the **Absa Foundation**
- Sustainability report launch

A powerhouse Corporate and Investment Banking

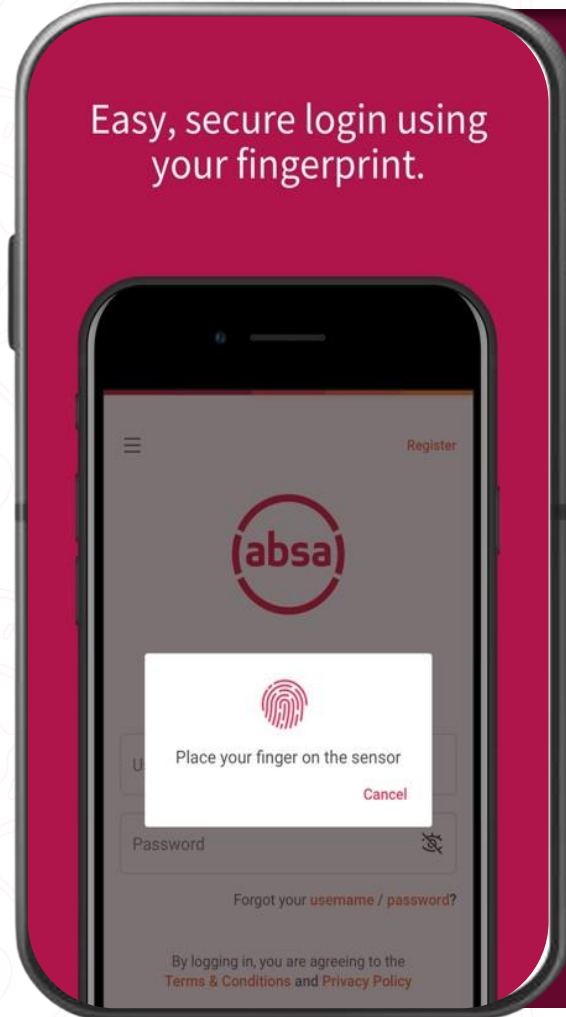
- ↑ **84%** of our CIB customers are **digitally active**
- ↑ **~2 billion** new flows through payments partnerships
- Launched **Absa custody business**

A home of talent and diversity

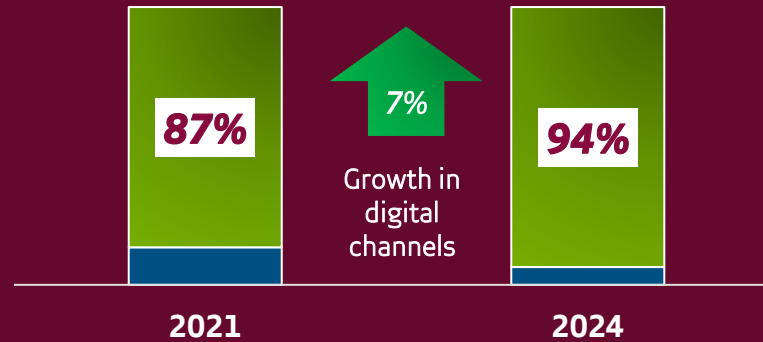
- ↑ **53%:47% Male : Female** in leadership
- ↑ Certified **Top Employer 4 years** in a row
- **70%** in Colleague experience
- Colleague upskilling with futuristic work skills



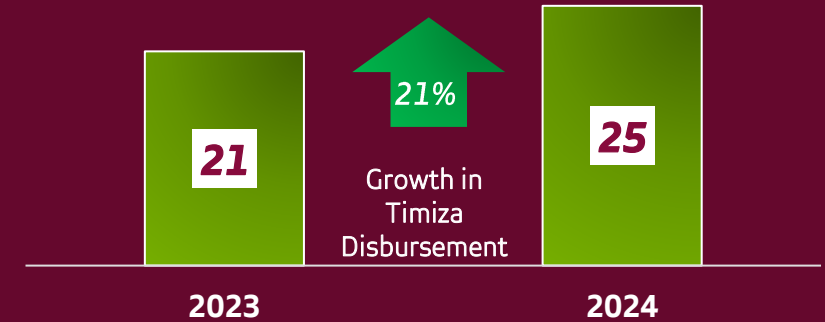
Digital Transformation: We have achieved significant increase in usage of our digital solutions by our customers



Digital Channels Transaction Volumes



Timiza Loan Disbursement (KES bn)



Primacy on our Timiza platform



Growth in Digital Savings in our Timiza platform



Growth in digital diaspora remittances



Innovation: We are a market-leader in delivering innovative, cutting-edge solutions for our customers

Agency banking network



Short term lending



LaRiba unsecured



E-citizen payment gateway



WorldRemit partnership



Micro-insurance for SME



Infinite Card



Absa access online





Empowering
Community



Absa Kenya Foundation: We launched our foundation; a critical enabler of fulfilling our intentions of becoming a force for good in the society



Absa Foundation Focus Areas



Entrepreneurship



Enhance enterprise formalization to enable access to a diverse range of financial products



Education and Skills



Increase the number of employable youth equipped with future-ready skills



Natural Resource Management



Empower communities and stakeholders toward low-carbon, climate-resilient, and sustainable development



Health and Humanitarian



Demonstrate empathy by proactively addressing human crises and societal health

Your story matters





Empowering
Community



Our ESG agenda: We are accelerating growth of our sustainable finance portfolio, while investing in strategic community initiatives

Our sustainability progress

(In KES unless stated otherwise)

47bn

Sustainable finance, including climate finance

25bn

Advanced to start-ups and youth through our Timiza platform

9.6bn

Advanced towards MSMEs with 30% of this being to women-led business

Ready to work beneficiaries

11k

2024

263k

Since Inception

Computer labs

67

Total labs

100k

Students benefitting

Women led businesses

500+

Trained on financial literacy

189

Graduated with inspire ME

Your story matters





Our Brand Positioning: We have made significant progress in bringing our new brand promise “Your Story Matters” to life, further growing our brand equity

Absa Magical Kenya
Open (DP World Tour)



Absa Sirikwa Classic
World Cross



Our Absa brand remains strong

20% increase in both brand consideration and connection

No. 1 most reputable brand in the market by Globe scan

No. 1 most trusted financial brand by Globe scan



Innovative Banking Products 2024 - Banking on Women Awards



Diversity & Inclusion Awards – Issued by Awards & Recognition (DIAR Awards)



Overall winner in sustainability– by the Kenya Bankers Awards 2024



Business Leader Category Absa Kenya Managing Director and CEO - African Brand Leadership Award

Your story matters





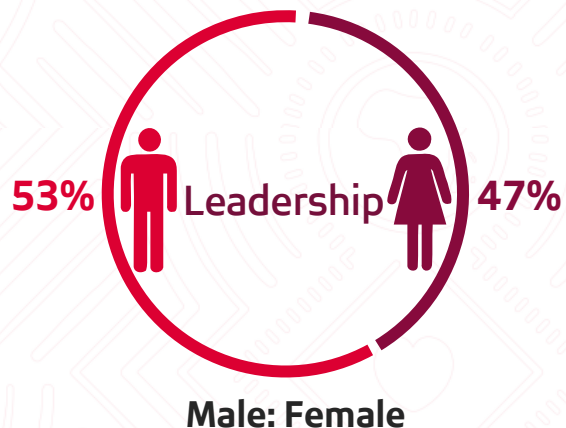
Empowering
Colleagues



For our colleagues: We are building a home of talent and diversity

Supporting our colleagues achieve their aspirations

Gender Diversity



Top
Employer

4th consecutive year

Colleague
experience index

70.2

Job satisfaction
index

7.9

108

colleagues promoted and seconded for career growth as we help them achieve their aspirations

95

million invested in learning and development for colleagues towards future skills such as data science

279

hires to support business growth and ensure effective execution of our strategic initiatives.

Your story matters





In conclusion: We are making positive progress in execution of our strategy



We have made significant progress in executing our strategy with **strong financial and non-financial results - 14% revenue growth**

We have recorded impressive growth in our **customer numbers** across our business signifying health of our franchise - **+10% growth**

We continue to **modernize our infrastructure and digital channels** and innovative new products to enhance our customer experience

We are **significantly investing in upskilling** our people, building a home of talent, diversity and inclusion – **Top employer 4 years in a row**

Our brand continues to be a pull factor, with a **growing reputation** and increased customer loyalty – **#1 most reputable financial institution**

We are making positive progress in execution of our ESG agenda towards being a **Force For Good** in communities we operate in

Financial *Performance*

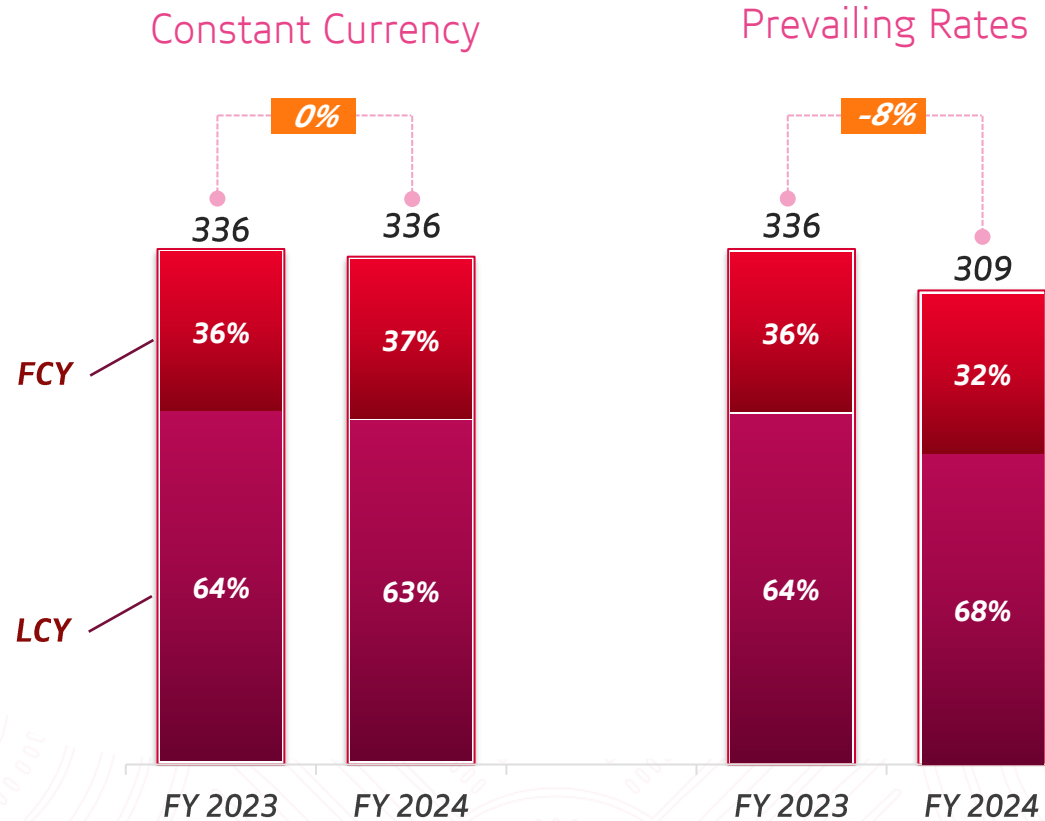


Yusuf Omari
Chief Financial Officer

Resilient balance sheet: Our balance sheet remains resilient in a tough macro economic environment

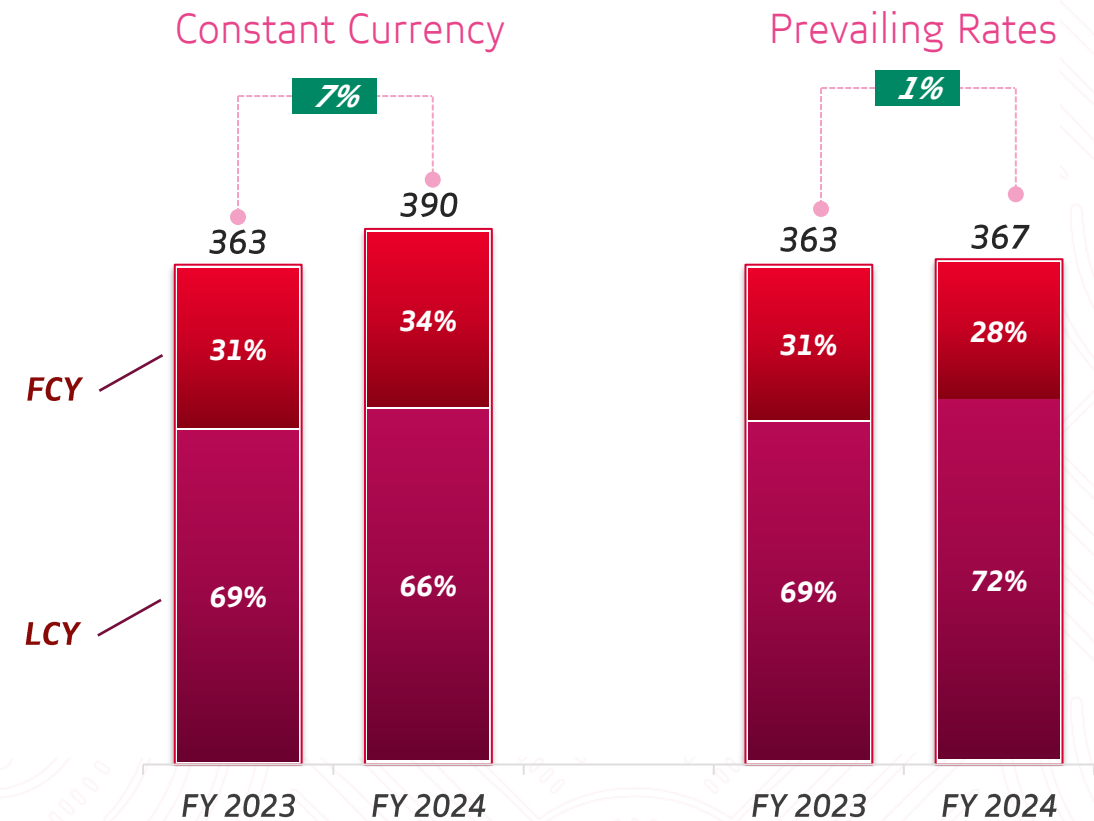
Customer Loans and Advances

(In KES bn unless stated otherwise)



- Local currency appreciation impacted our balance sheet growth. Our loan book was flat on a constant currency basis.
- Slow growth in sector lending across the industry, driven by the macroeconomic environment, led to a marginal decline in our asset book

Customer Deposits

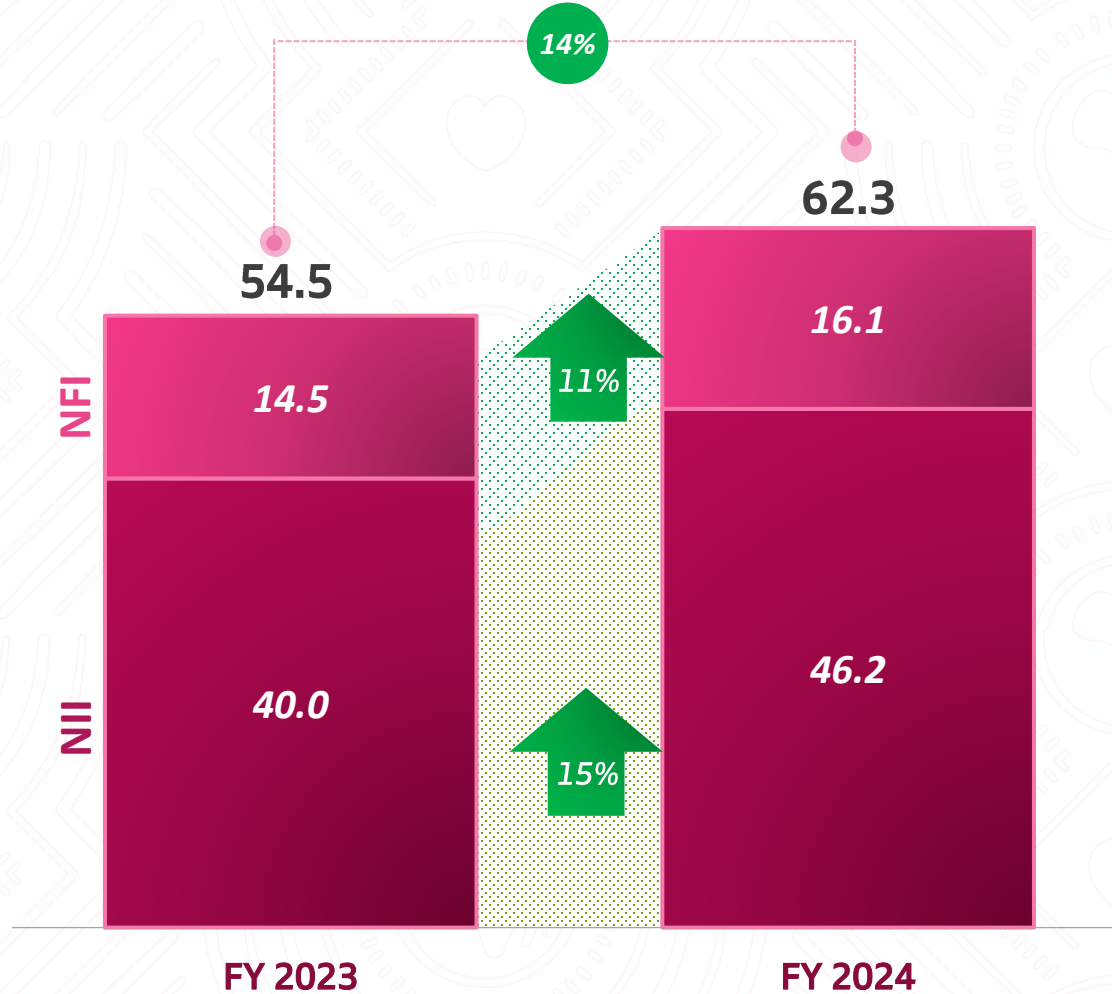


- The cost of funds stood at 5.1%, driven by the rate cycle. However, we achieved liability growth (7% growth on a constant currency basis) through expanding our agency network, enhancing our digital proposition and customer acquisition efforts

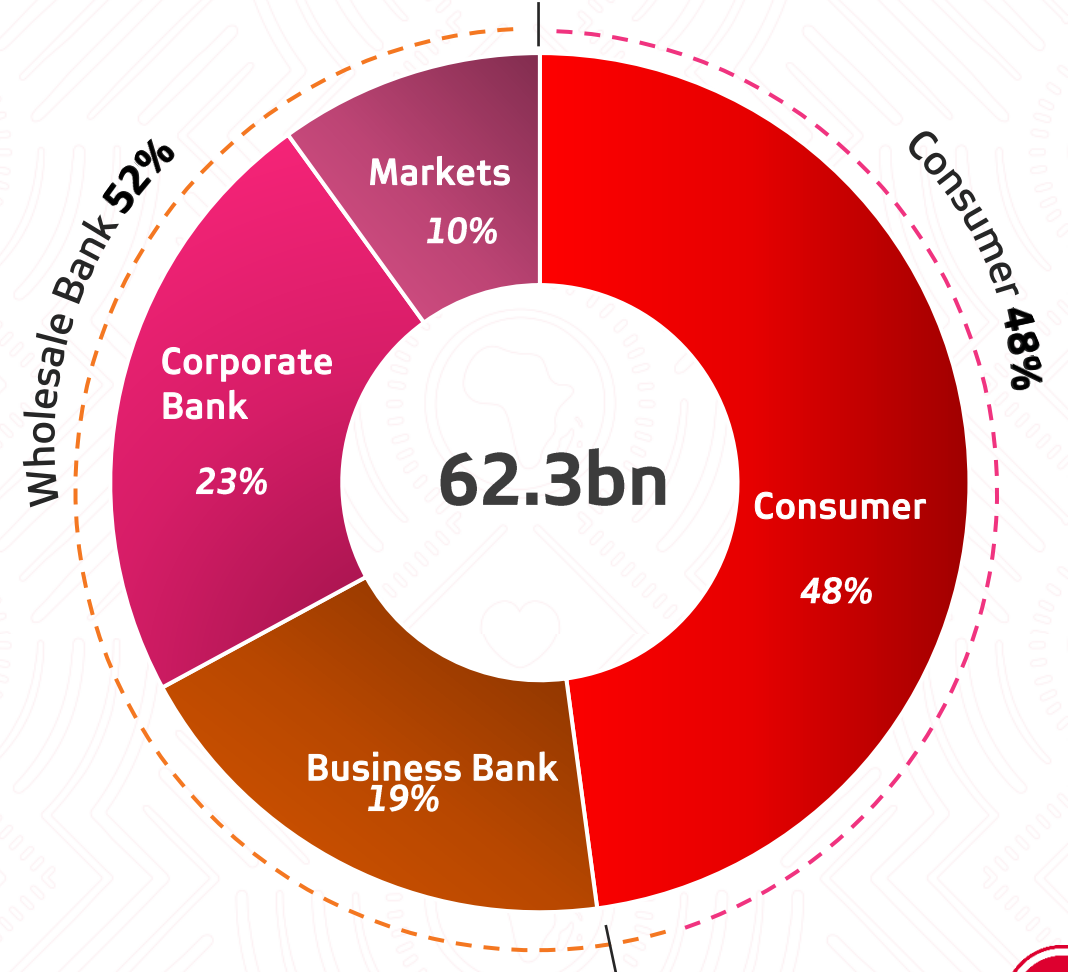
Significant momentum in revenue: Double digit revenue growth of 14% supported by a diversified business

Revenue Diversification: NII and NFI

(In KES bn unless stated otherwise)



Revenue Diversification by business



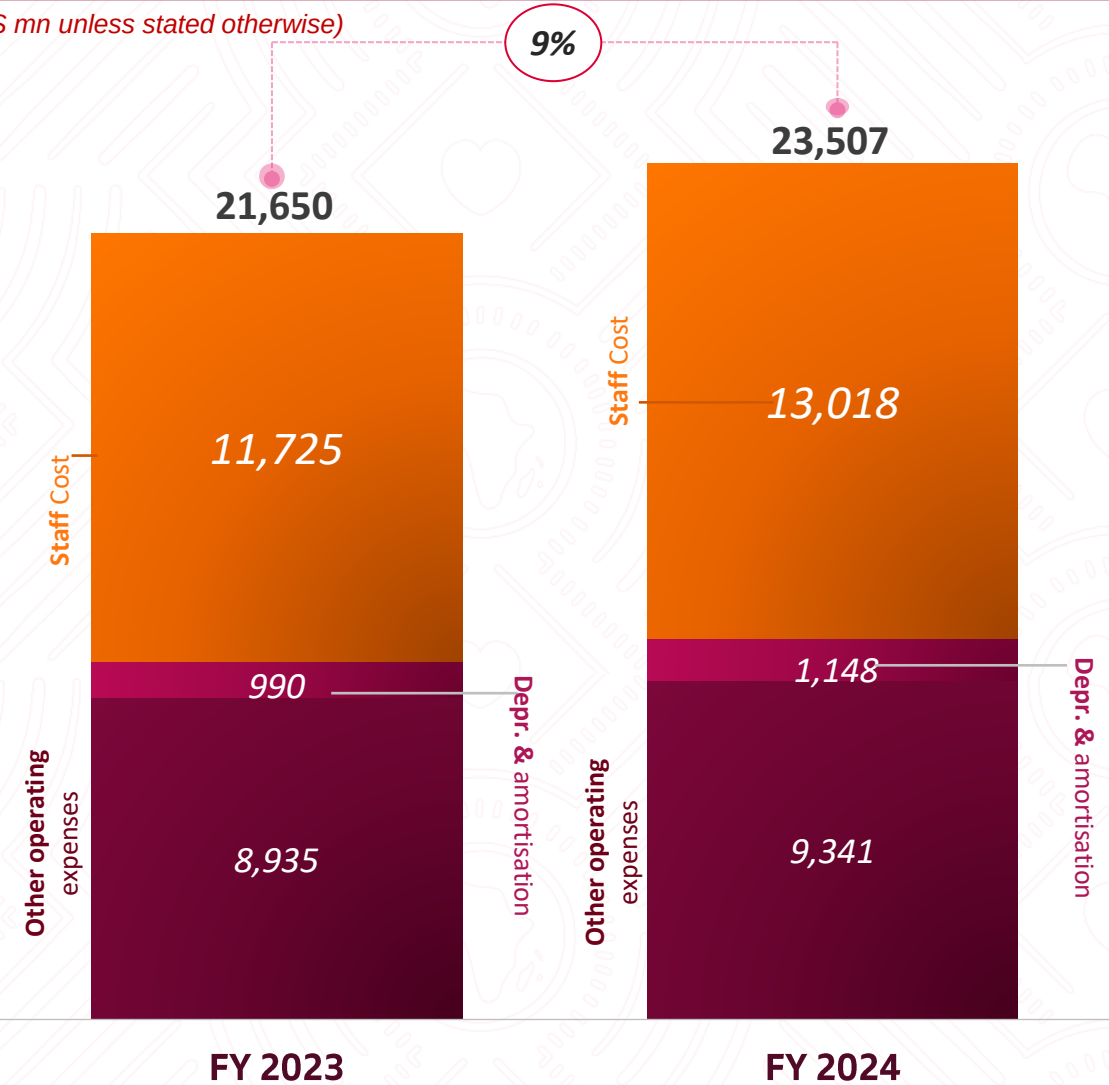
Your story matters



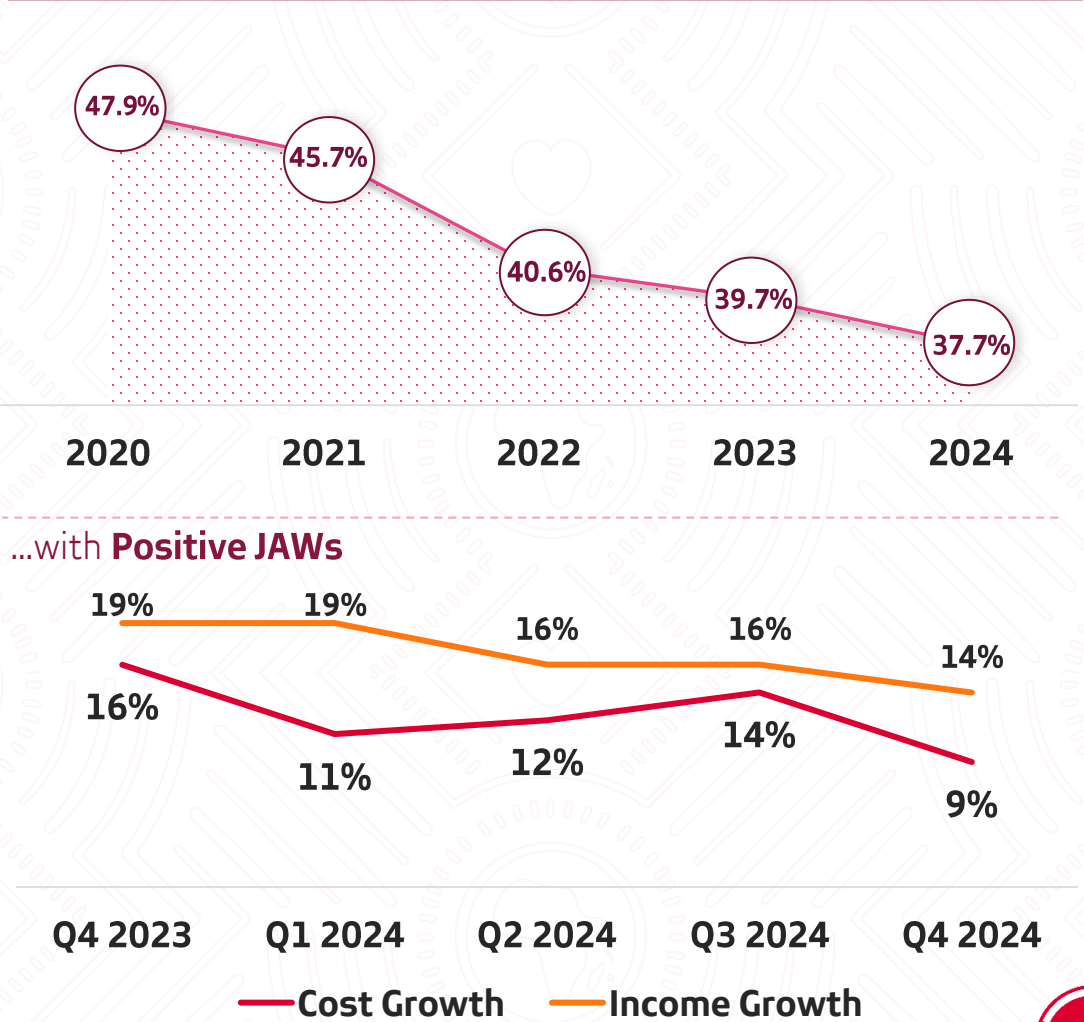
Sustained improvement in efficiency: Strategic investments for future growth driving costs, however we are sustaining efficiency levels with positive JAWs

Total Cost growth from inflation and investments

(In KES mn unless stated otherwise)



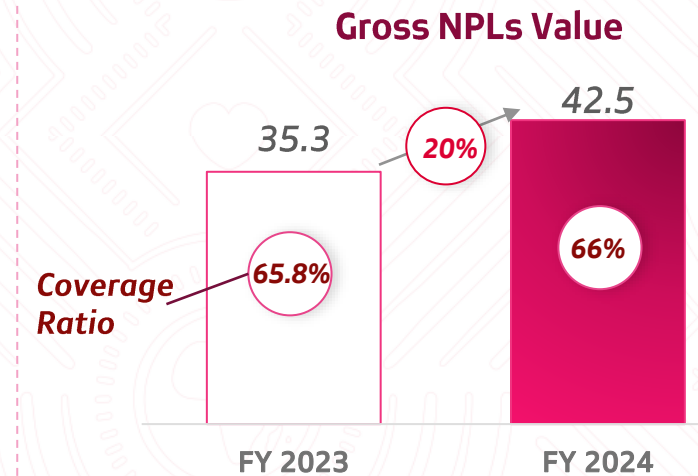
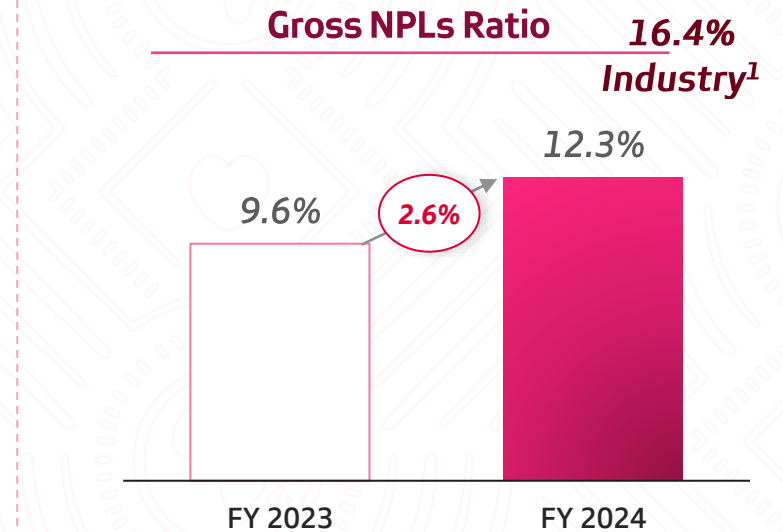
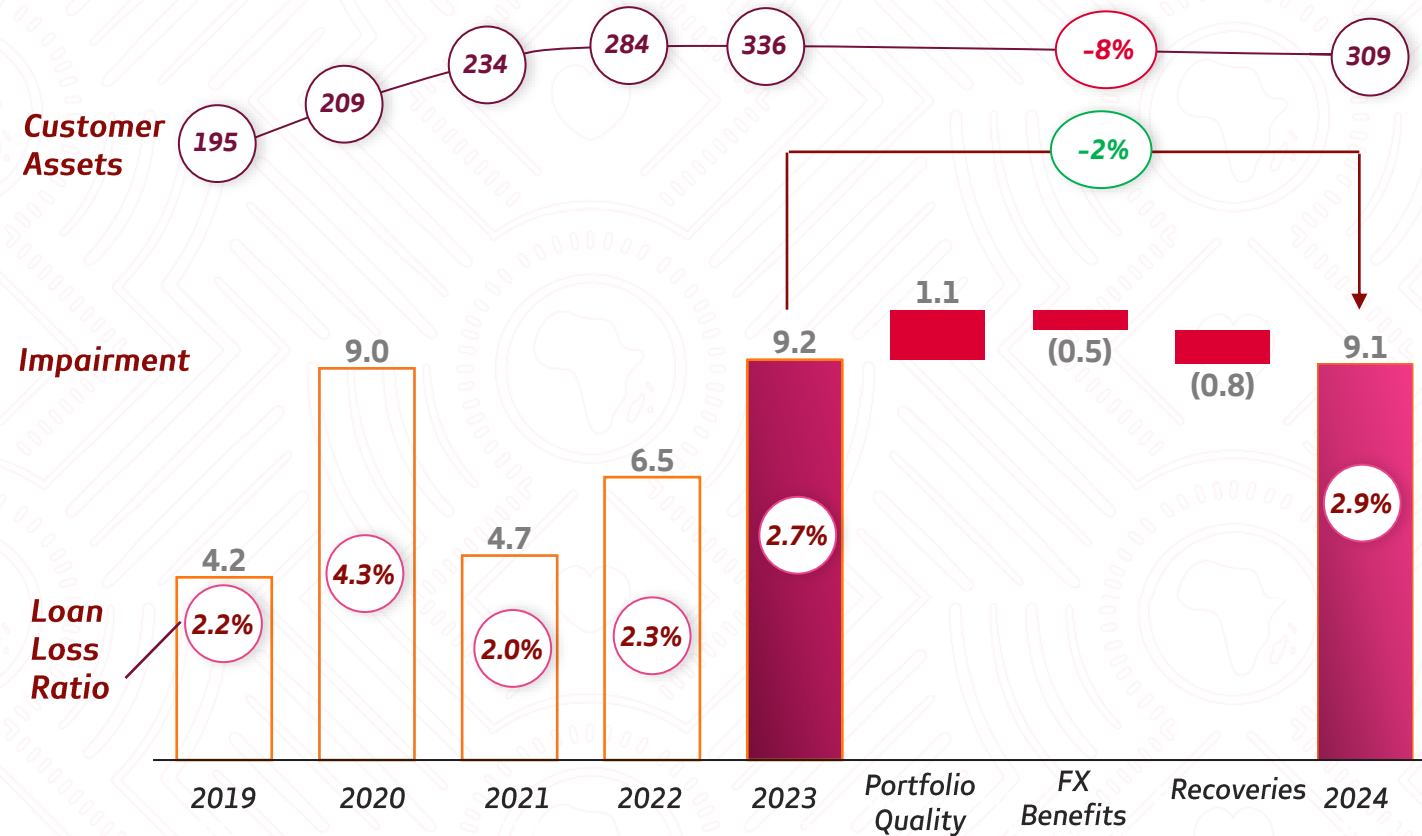
Improved Cost to Income Ratio



Portfolio quality: Sustaining quality while maintaining a robust balance sheet in a tough operating environment

Impairment relative to growth

(In KES bn unless stated otherwise)



Notes

1. Industry gross NPLs (Non-Performing Loaning) as at Dec 2024.

Your story matters



Accelerated top-line driven profitability and resilient balance sheet momentum

(In KES bn unless stated otherwise)

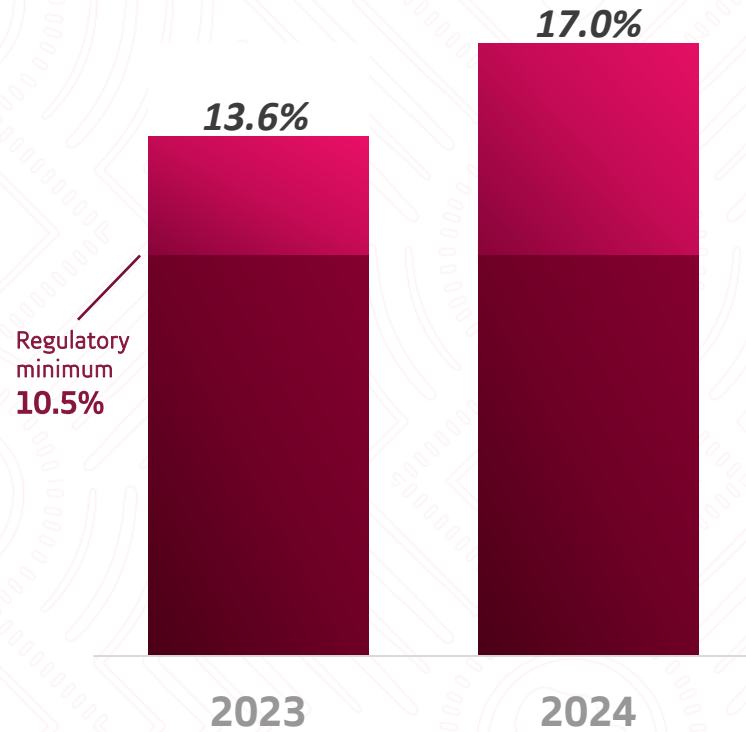
P&L Indicators	FY 2023	FY 2024	YoY	
Income	54.5	62.3	14%	↑
Net Interest Income	40.0	46.2	15%	↑
Non Funded Income	14.5	16.1	11%	↑
Operating Costs	(21.6)	(23.5)	9%	↑
Impairment	(9.2)	(9.1)	(2%)	↓
Profit Before Tax	23.7	29.7	26%	↑
Profit After Tax	16.4	20.9	28%	↑
Balance Sheet				
Customer Assets	336	309	(8%)	↓
Customer Liabilities	363	367	1%	↑
Total Assets	520	506	(3%)	↓

Cost-income-ratio showing marked improvement with profitability supporting better Return-on-Equity

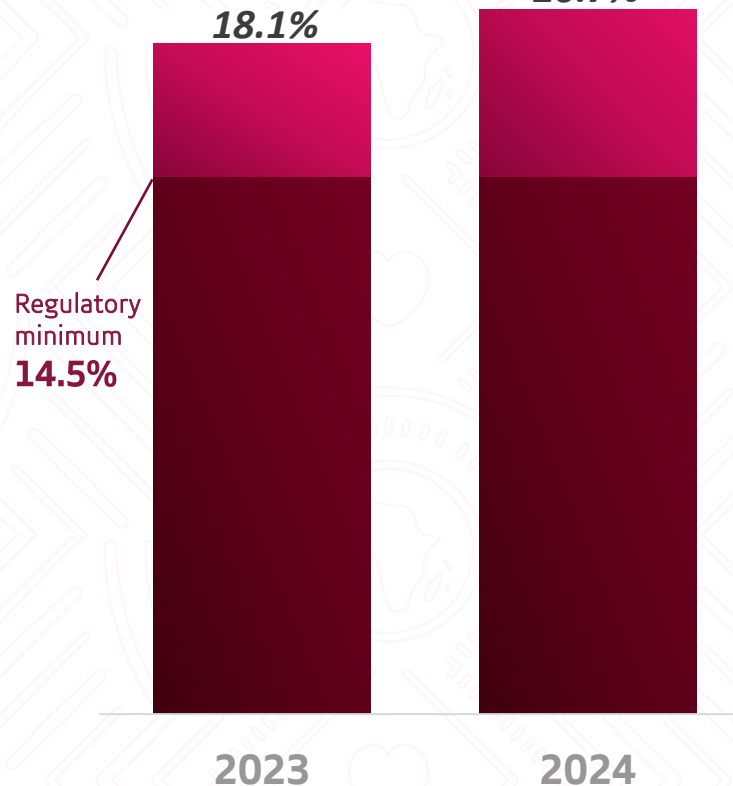
Indicators	FY 2023	FY 2024	Commentary	
Cost to Income Ratio	39.7%	37.7%	Improved efficiency	↓
Loan Loss Rate	2.7%	2.9%	Impacted by current macro-economic environment	↑
Loan Deposit Ratio	93%	84%	Better deposit mobilization	↓
Core Capital Ratio	13.6%	17.0%	Strengthened financial position	↑
Return on Equity	23.7%	24.5%	Better earnings and optimization of capital	↑
Return on Assets	3.2%	4.2%	Improved efficiency	↑

Strong capital and liquidity ratios: Providing capacity to support growth ambition and capital distribution

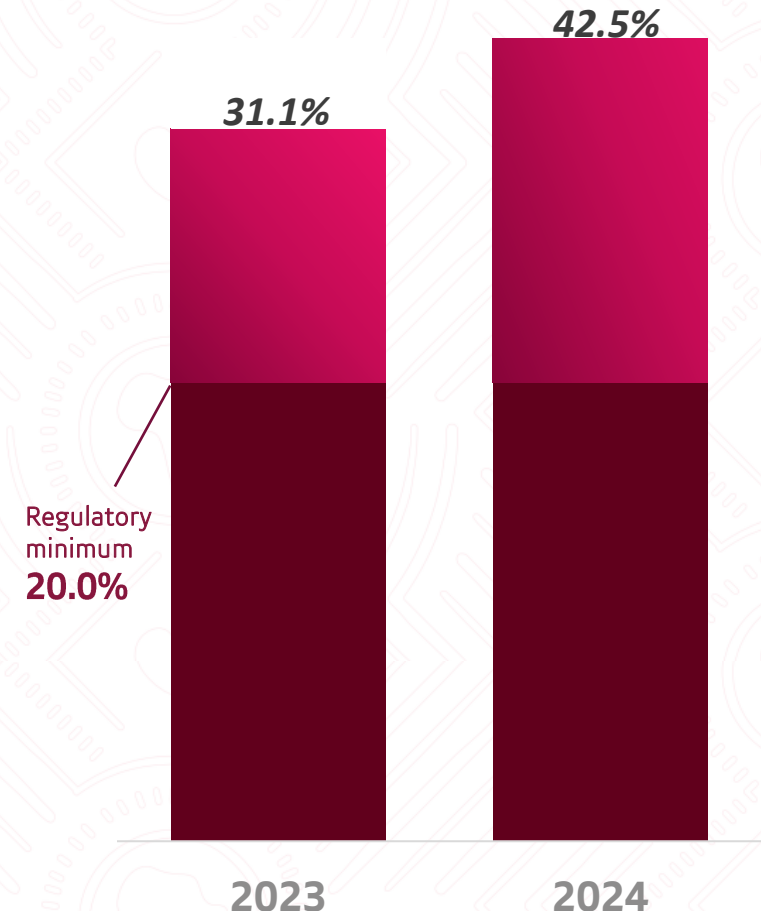
Core Capital Ratio



Total Capital Ratio



Liquidity Ratio



Buffer Regulatory Minimum

Guidance



Yusuf Omari
Chief Financial Officer



Guidance: Our strategy supports a positive medium-term guidance

Principal Financial Metrics

...Medium Term Target



Accelerated Growth

Sustainable growth in balance sheet



Increased Efficiency

Cost-To-Income Ratio of low 40%'s



Sustainable Shareholder Returns

Return on Equity above our Cost of Equity by 5%



Resilient Balance Sheet Quality

Better than industry average portfolio quality
(NPL ratio)

Recap



Abdi Mohamed
Chief Executive Officer

Recap: The strategic roadmap ahead and the bank we are building

2024 performance highlights

Income
62.3bn
+14%

Profit After Tax
20.9bn
+28%

Customer Assets
309bn
-8%

Customer Liabilities
367bn
+1%

Cost to Income
37.7%
(200bps)

Return on Equity
24.5%
+100bps



With clear execution focus areas for 2024 and beyond

On consumer banking:

Build a scalable consumer banking business that is digitally enabled to drive reach, targeting a significant increase in profitable customers.

On business banking:

Expand our reach towards market leadership through enhanced physical and digital distribution, innovation of our propositions and a step change in customer experience.

On Corporate and Investment Bank:

Connecting client ecosystems with the objective of delivering-the-firm and in doing so, become the primary partner for our clients. This effort will leverage best-in-class transactional banking capabilities

On a digitally powered business:

Sustain investments towards modernising our technology chassis, enabling scale in partnership and acquisition through the launch of an Open API Gateway

On trusted brand driving a sustainable future:

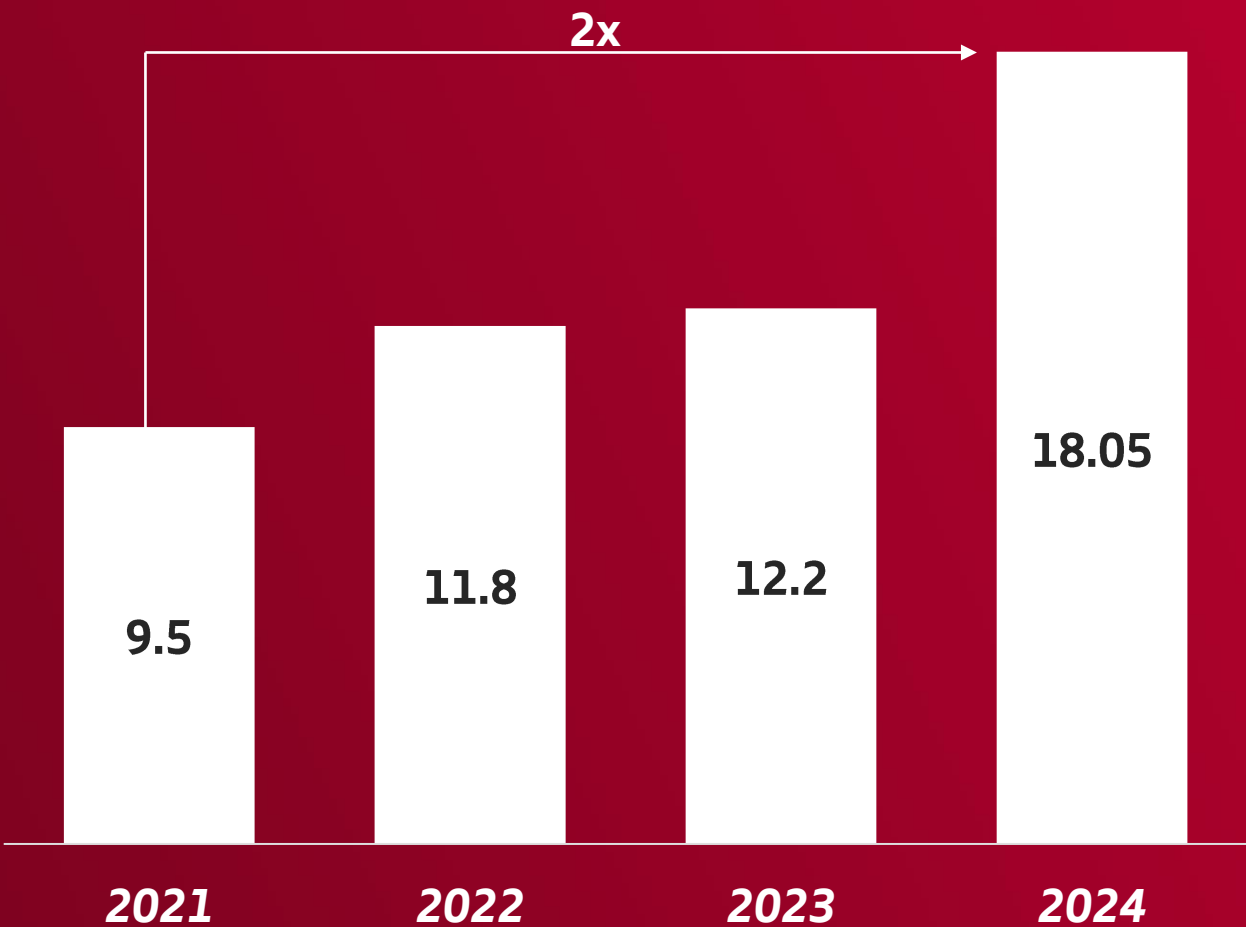
Remain number 1 Trusted Financial Services Brand in Kenya through building a locally relevant, always-on brand that drives a sustainable future and being a Force for Good in the communities in which we operate

On home of talent and diversity:

Build a home of talent underpinned by a culture that fosters innovation and embraces all forms of diversity and inclusion

For our shareholders: Our consistent stock performance has enabled us to deliver incremental returns for shareholders over cycles

Absa Kenya Share Price¹ (In Kes)



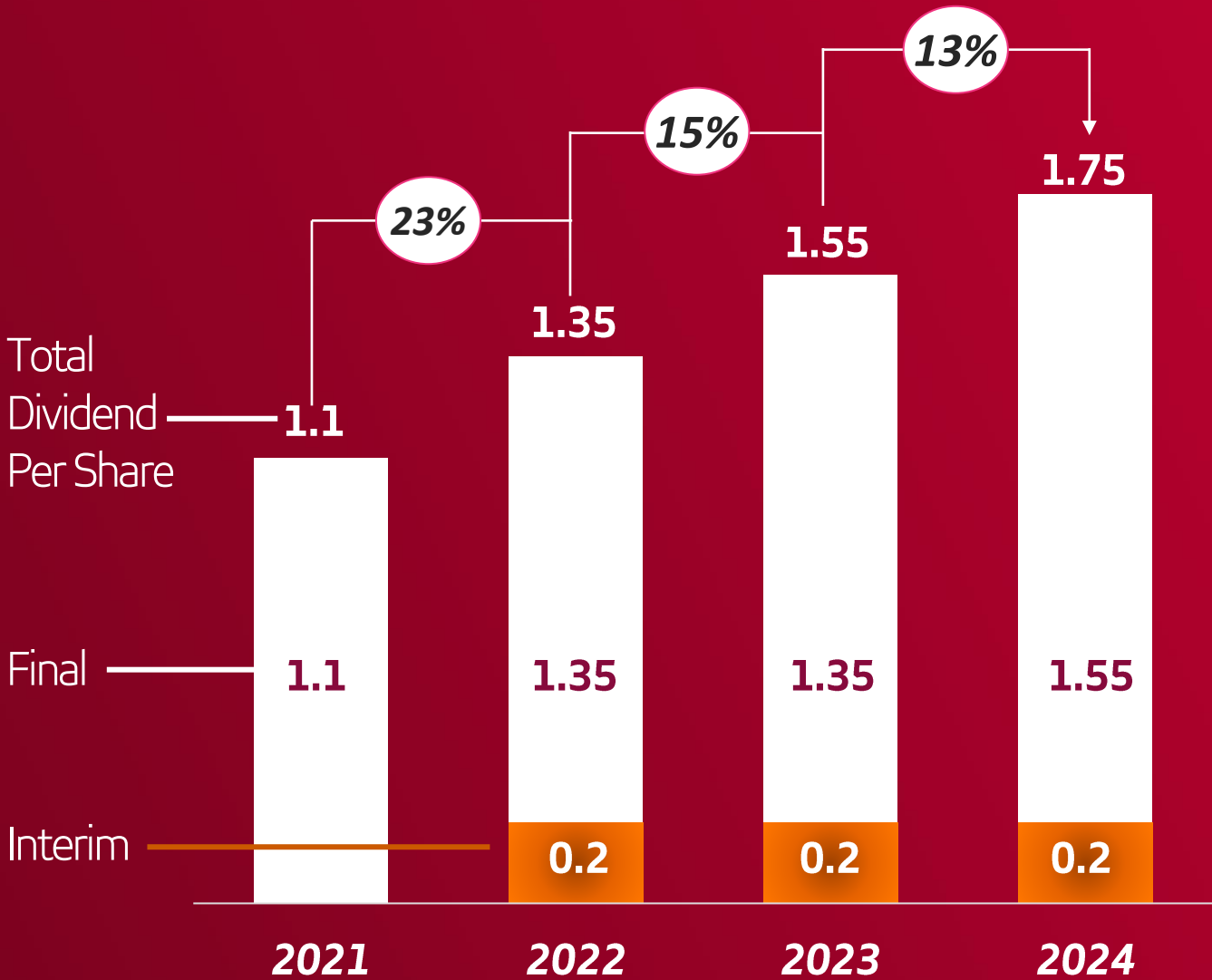
We have delivered robust share price returns and achieved top quartile ROE performance in the industry, reflecting our resilient business model and steadfast commitment to creating long-term shareholder value

Notes

1. Stock price for 2021 – 2023 as at the first trading day of the year, ending Dec 2024



For our shareholders: The board has proposed the payment of a final dividend of 1.55, bringing the total to KES 1.75, 13% increase from last year



The Board of Directors has proposed the payment of final dividend for the year 2024 of KES 1.55 per ordinary share of the Company bringing the total to KES 1.75 to be paid on or about Thursday, 22 May 2025 to shareholders.

(Disclaimer)

Forward-looking statements

Certain statements in this document are forward looking that relate to, among other things, the plans, objectives, goals, strategies, future operations and performance of Absa Bank Kenya PLC . Words such as “anticipates”, “estimates”, “expects”, “projects”, “believes”, “intends”, “plans”, “may”, “will” and “should” and similar expressions are typically indicative of a forward-looking statement. These statements are not guarantees of Absa Bank Kenya PLC future operating, financial or other results and involve certain risks, uncertainties and assumptions.

Accordingly, actual results and outcomes may differ materially from those expressed or implied by such statements. Absa Bank Kenya PLC makes no representation or warranty, express or implied, that the operating, financial or other results anticipated by such forward-looking statements will be achieved and such forward-looking statements represent, in each case, only one of many possible scenarios and should not be viewed as the most likely or standard scenario.

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